Overview

How healthy is premium income, really?

Simulated data · Oct 2024–Sep 2026

$66.6M
Premium collected a year

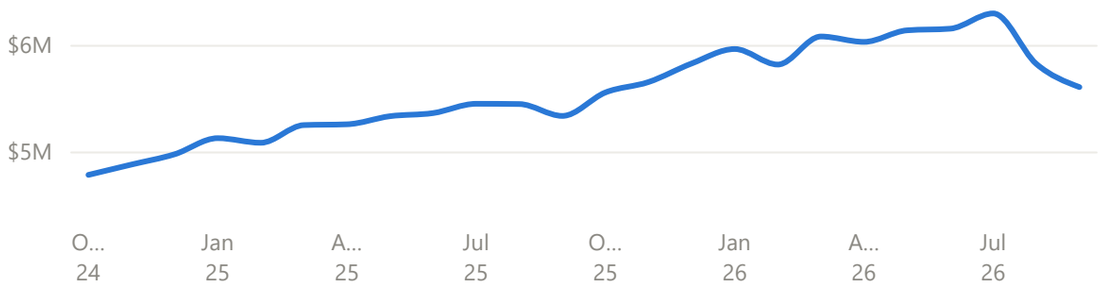
40,266
Active policies

5.5%
Premiums that fail on the first try

47.5%
Ended policies nobody cancelled

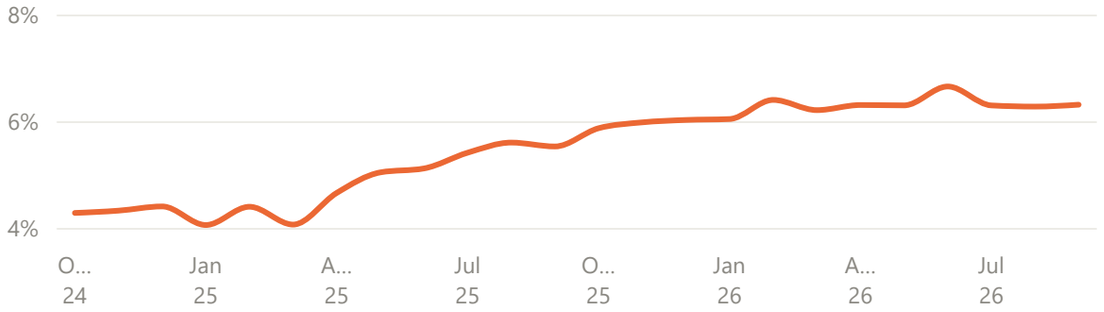
Premium collected grew over the two years

Premium collected each month



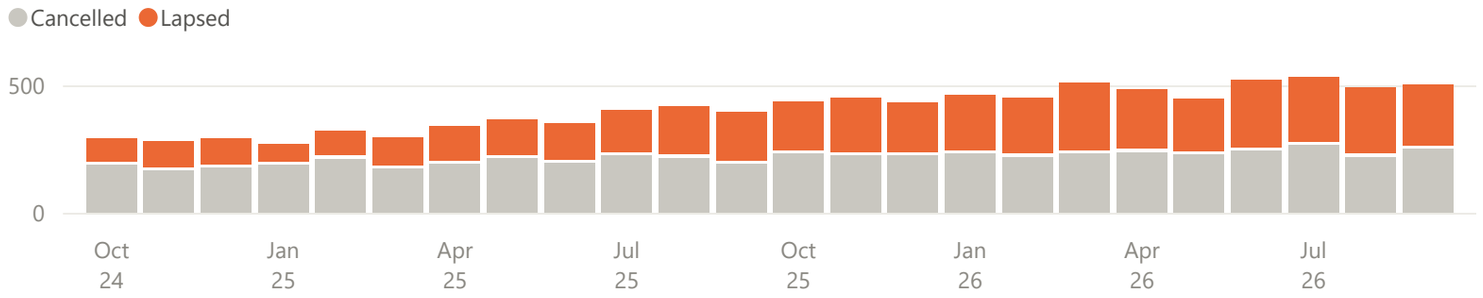
...but more premiums now fail on the first try

Share of scheduled premiums that failed first time, each month



Nearly half the policies that end each month were never cancelled

Orange: lapsed because the payment failed. Grey: cancelled by the customer.



4,623 policies

ended without anyone cancelling them. Their payments failed.

Retention spend is aimed at the wrong half of the problem: these customers never chose to leave.

The lapse that isn't

Who chose to go, and whose payment just died?

Simulated data · Oct 2024–Sep 2026

47.5%

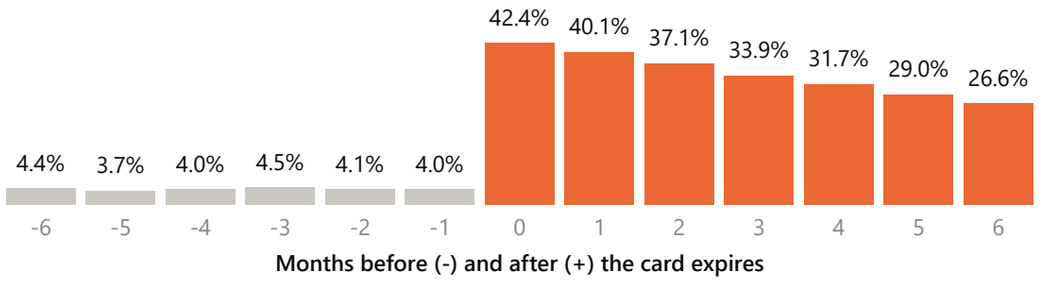
of ended policies were never cancelled

$8.7M

annual premium of policies that lapsed, Oct 2024–Sep 2026

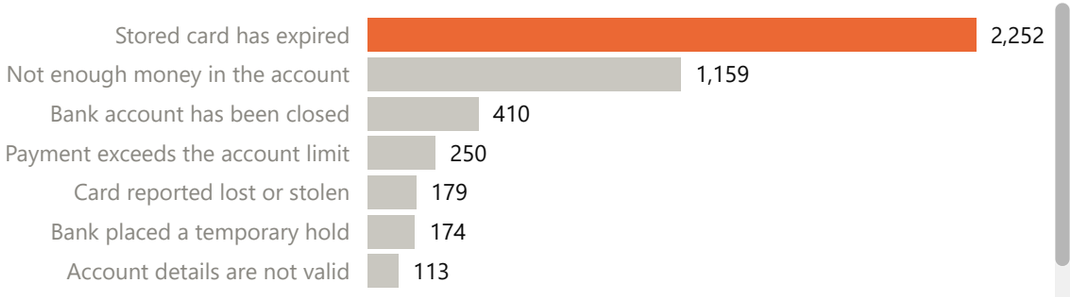
Once a card expires, first-attempt failures jump from 4.2% to 30.3%

Failure rate in the six months before and after the stored card expires. Orange: card expired.



Expired cards are behind 49% of all lapses

Lapsed policies by the decline that ended them. Orange: the stored card had expired.



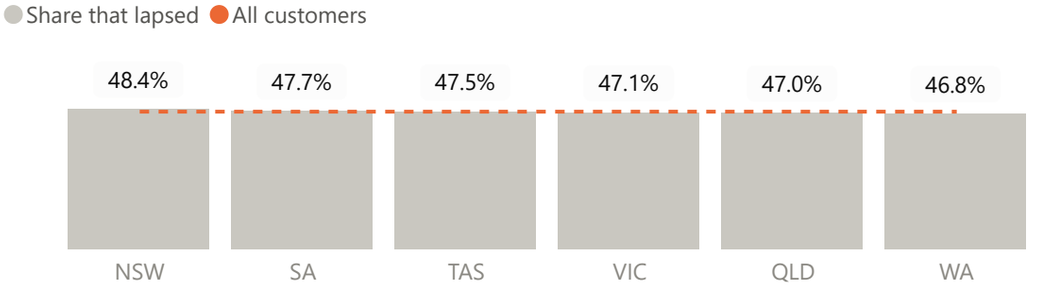
Card + monthly: 65.5% of ended policies lapsed, against 6.3% for direct debit + annual

Share of ended policies that lapsed rather than being cancelled. The more orange the cell, the higher the share.

Payment method	Annual	Monthly
Card	22.4%	65.5%
Direct debit	6.3%	42.7%

Who they are barely matters: every state sits near 47.5%

Compare with how they pay, on the left. Dashed: all customers.



Wasted retries

What do failed premiums actually cost?

Simulated data · Oct 2024–Sep 2026

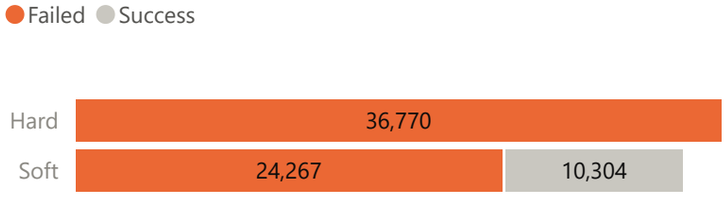
$147.3K
Dishonour fees a year

$54.2K
Fees a year on retries that can never work

14.4%
Retries that collected the premium

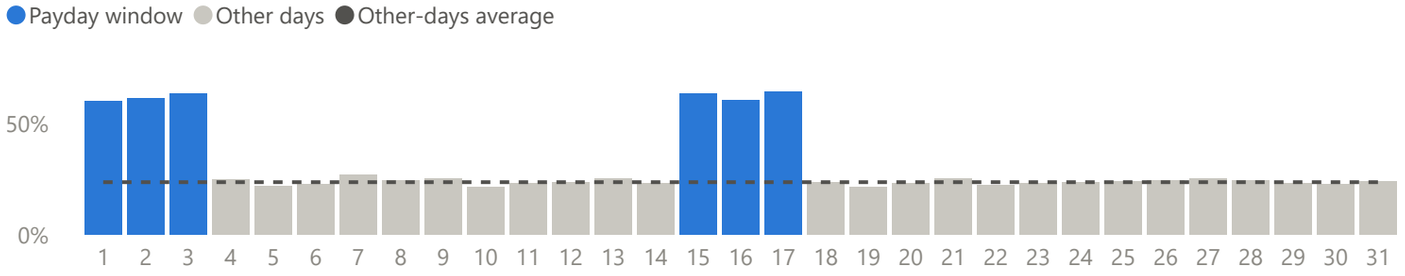
Hard dishonours were retried 36,770 times and never succeeded

Retries by outcome. Orange: failed.



Soft retries succeed 62.5% in the payday window, 23.7% on other days

By day of month. Blue: the 1st, the 15th and the two days after each. Dashed: the other-days average.



Stopping hard-dishonour retries saves $54k a year

Every retry by the decline it was retrying. Hard declines never succeed, so all their fees are wasted.

Decline reason	Hard or soft	Retries	Success rate	Wasted fees a year
Stored card has expired	Hard	27,964	0.0%	$41,247
Not enough money in the account	Soft	24,324	29.9%	–
Payment exceeds the account limit	Soft	5,432	29.9%	–
Bank account has been closed	Hard	5,028	0.0%	$7,416
Bank placed a temporary hold	Soft	3,074	29.3%	–
Card reported lost or stolen	Hard	2,344	0.0%	$3,457

At risk next

Which premiums will fail next month, and what do we do?

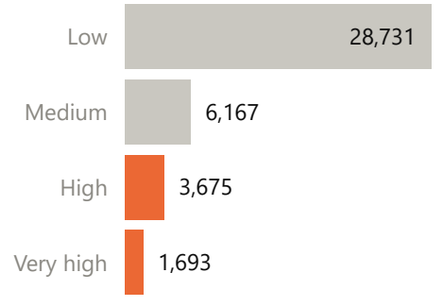
Simulated data · Oct 2024–Sep 2026

5,368
Policies at high or very high risk

$5.9M
Premium at risk a year

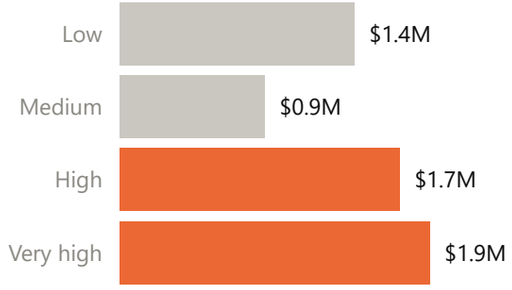
Most active policies are low risk

Active policies by risk band. Orange: high and very high.



High-risk policies hold most of the premium at risk

Premium at risk a year, by risk band



Start with the 50 policies most likely to fail next month

All 50 have a 99%+ chance of failing; largest premium first.

Policy	Product	Chance of failing	Why	Premium at risk a year
1177	Health	99%+	Card expired · 13 failed payments	$3,581
10382	Health	99%+	Card expired · 18 failed payments	$3,526
28033	Health	99%+	Card expired · 13 failed payments	$3,461
43104	Health	99%+	Card expired · 19 failed payments	$3,269
10009	Health	99%+	Card expired · 14 failed payments	$3,190

Logistic regression, AUC 0.77; the riskiest 5% catch 39% of failures.

1 Stop retrying hard dishonours

They were retried 36,770 times in 24 months and succeeded zero times.

Saves $54,000 a year in fees

2 Retry soft dishonours in the payday window

On the 1st or 15th, or the two days after, retries succeed 62.5% of the time against 23.7% on other days.

Recovers about 5,700 more payments a year

3 Warn customers before their card expires

Once a stored card expires, first-attempt failures jump from 4.2% to 30.3%; expired cards are behind 49% of all lapses.

Protects $4.2M of annual premium that lapsed on expired cards, Oct 2024–Sep 2026